BAP No. SC-16-1227

Chapter 7 Bankruptcy Case No. 16-00629-MM7 (Bankr. S.D. Cal.)

UNITED STATES BANKRUPTCY APPELLATE PANEL OF THE NINTH CIRCUIT

COUNTY OF IMPERIAL TREASURER-TAX COLLECTOR,
Appellant,

v.

RONALD E. STADTMUELLER, Trustee; *RW MERIDIAN, LLC*,
Appellees.

On Appeal from the United States Bankruptcy Court for the Southern District of California, Honorable Margaret M. Mann, Presiding

APPELLANT'S OPENING BRIEF

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Jurisdictional Statement

Appellant, County of Imperial Treasurer-Tax Collector ("County"), appeals from the Memorandum Decision ("Decision"), issued by the Honorable Margaret M. Mann ("Judge Mann") of the United States Bankruptcy Court for the Southern District of California ("Bankruptcy Court") on July 5, 2016, which held that a tax sale conducted by the County violated the automatic stay. (App. 13:133.)[1] The Bankruptcy Court had jurisdiction over the matter under 11 U.S.C. §§ 1334 and 157. The Decision is a final order appealable under 28 U.S.C. § 158(a)(1).

The County timely filed its Notice of Appeal on July 18, 2016, within 14 days of the entry of the Decision as prescribed by Fed. R. Bankr. P. 8002. (App. 14:146.) No party elected to have the appeal heard by the district court, and therefore the United States Bankruptcy Appellate Panel of the Ninth Circuit ("BAP") has jurisdiction under 28 U.S.C. § 158(a)(1), (b)(1), and (c)(1).

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[1] Appendix references shall be in the form "App. X:YY" with the first number being the PDF number of the item and the second number being the page number in the Appendix.

Statement of Issues

1. Did the Bankruptcy Court err in finding that the real property became property of the estate when the petition was filed and therefore was protected by the automatic stay provisions of 11 U.S.C. § 362(a)(3) and 11 U.S.C. § 362(a)(4), even though the right of redemption had expired pre-petition by the terms of California Revenue and Taxation Code § 3707(a)(1) and the trustee had no right to cure the tax default and redeem the property under 11 U.S.C. § 108(b)?
2. Did the Bankruptcy Court err in finding that the sale occurred post-petition when California Revenue and Taxation Code § 3692.1 defines the date of the sale as the date the auction begins and the petition was not filed until two days after the auction began?
3. Did the Bankruptcy Court err in finding that the County's action violated 11 U.S.C. § 362(a)(6) as an act to collect a claim against the debtor when, under California state law, the real property tax obligation is an *in rem* obligation and not a personal obligation of the property owner?
4. Did the Bankruptcy Court err in finding that the Tax Collector's failure to stop the auction after the petition was filed was a discretionary action that violated the

automatic stay even though the right of redemption had expired and the auction had started before the petition was filed?

Standard of Review

There are no disputed issues of fact in this case. The issues presented for review are purely questions of law, involving interpretations of the Bankruptcy Code and interpretations of state law with regard to the ultimate question of whether the automatic stay was violated. Each of those matters is recognized as a matter that is subject to *de novo* review.

A bankruptcy court's interpretation of the Bankruptcy Code is reviewed *de novo*. *Mwangi v. Wells Fargo Bank*, 764 F.3d 1169, 1173 (9th Cir. 2014) ("*Mwangi*"). A bankruptcy court's interpretation of state law is reviewed *de novo*. *In re Park at Dash Point, L.P.*, 985 F.2d 1008, 1010 (9th Cir. 1993). Specifically, the question of whether the automatic stay has been violated is recognized as a question of law which is reviewed *de novo*. *Mwangi*, 764 F.3d at 1173.

Statement of the Case

A. Factual Background

As of February 5, 2016, RW Meridian, LLC ("Meridian") was the owner of 58+ acres of unimproved land located in the County of Imperial, California, on which the property taxes had not been paid for more than five years. (App. 1:1.) In accordance with all applicable statutory requirements imposed by the California Revenue and Taxation Code ("R&T Code"), none of which are in dispute in this case, the property was scheduled for tax sale by Internet auction that was to commence on Saturday, February 6, 2016. (App. 1:1.) Pursuant to the statutory notices that were given to Meridian, and R&T Code § 3707(a)(1), Meridian's right to redeem the property expired at 5:00 p.m. on Friday, February 5, 2016. (App. 1:2.) Meridian did not redeem the property, and the auction began on Saturday, February 6, 2016, as scheduled. On Monday, February 8, 2016, at approximately 4:20 p.m., Meridian filed a Chapter 7 petition. (App. 1:2.) Relying upon the fact that the right of redemption had expired prior to the petition being filed, and the BAP's decision in *In re Tracht Gut, LLC*, 503 B.R. 804 (9th Cir. BAP 2014) ("*Tracht Gut*"), the County allowed the auction to continue and accepted the high bid of $343,000. (App. 1:2-3, 11:79-80.)

B. Procedural History

The County filed a Motion for Comfort Order on February 11, 2016, requesting confirmation that the completion of the auction had not violated the automatic stay because the right of redemption had expired prior to the petition being filed, and that the further act of recording the Tax Deed would not be a violation. (App. 1:1-3.) The Trustee filed a Request for Hearing and Opposition on February 24, 2016. (App. 3:8, 4:10, 5:14.) Judge Mann issued a Tentative Ruling on April 5, 2016, which stated that the court's tentative was to deny the County's motion. (App. 7:28-30.) At the hearing, Judge Mann requested further briefing on the question of whether a tax collector has discretion during the course of the auction to accept a credit bid under R&T Code § 3707(a)(2), whether the contingent right of redemption provided in § 3707(d) is a sufficient property interest to bring the property into the estate when a bankruptcy is filed during the course of the auction. (App. 9:39-41, 49-50.) On July 5, 2016, Judge Mann issued the Decision, ruling that the County had violated the automatic stay and that the sale to the successful bidder was void. (App. 13:133-145.) The County filed its Notice of Appeal on July 18, 2016. (App. 14:146.)

Summary of Argument

The central issue on appeal is whether the Bankruptcy Court erred in finding that the County violated the automatic stay by allowing the auction to continue even though, under state law, the statutory right of redemption had expired prior to the petition being filed. There is no dispute that the right of redemption expired pursuant to R&T Code § 3707 approximately three days before the petition was filed, without Meridian taking any action to redeem the property. The County asserts that, due to the pre-petition expiration of the right of redemption, the property was not protected by either 11 U.S.C. § 362(a)(3) or (4), because it was not "property of the estate."

The County's position is supported by the BAP's ruling in *Tracht Gut*, which has been affirmed by the Ninth Circuit, decisions of other bankruptcy judges in California, 11 U.S.C. § 108(b), and other decisions that have acknowledged that the dispositive question is whether the right of redemption existed when the petition was filed. No decision has been identified in which any court has held that tax-defaulted real property became property of the estate when a petition was filed after the right of redemption had expired under R&T Code § 3707(a)(1).

The Bankruptcy Court also erred in ruling that the continuation of the auction violated 11 U.S.C. § 362(a)(6), which prohibits actions taken against the debtor to

collect a claim. The auction was part of an in rem enforcement process against the real property and did not constitute an effort to collect a claim against the debtor.

Argument

A. The Bankruptcy Court Erred in Finding That the Real Property Became Property of the Estate When the Petition Was Filed and Therefore Was Protected by the Automatic Stay Provisions of 11 U.S.C. §§ 362(a)(3) and (a)(4), Because the Right of Redemption Had Expired Pre-Petition

Any finding of a violation of the automatic stay based upon either 11 U.S.C. § 362(a)(3) or (a)(4) must begin with a determination that the asset in question was "property of the estate." 11 U.S.C. § 362(a)(3) prohibits any action to obtain possession of, or exercise control over, "property of the estate." 11 U.S.C. § 362(a)(4) prohibits any action with respect to a lien against "property of the estate." If the asset in question is not "property of the estate," no action taken with regard to that asset, whether as part of an effort to gain possession of or control over the asset, or to enforce a lien against the asset, violates 11 U.S.C. § 362(a)(3) or (a)(4). See, *Mwangi*, 764 F.3d at 1179 (an asset that is not property of the estate is not "subject to the protections of § 362(a)(3)'s automatic stay provision").

To determine the property rights of a debtor on the petition date, one must look to state law. See, *Butner v. United States*, 440 U.S. 48, 54-55 (1979). In affirming the

BAP's decision in *Tracht Gut*, the Ninth Circuit held that, when applying bankruptcy law in the context of property tax sales, deference must be given to the state statutory regulatory system that governs real property rights. Under R&T Code § 3707(a)(1), "the right of redemption terminates at the close of business on the last business day prior to the date of sale." Under R&T Code § 3692.1 the "date of sale" is "the date upon which a public auction begins." In this case, the public auction began on Saturday, February 6, 2016, and the right of redemption expired under R&T Code § 3707(a)(1) at 5:00 p.m. on Friday, February 5. Meridian's petition was not filed until Monday, February 8, three days after the right of redemption had terminated under state law.

1. A Bankruptcy Trustee Has No Power to Redeem Tax-Defaulted Property If the Right to Redeem Has Expired Pre-Petition

On the day that the petition was filed, Meridian had no ability under state law to stop the sale of the property. (App. 11:82-83.) There is no provision in the Bankruptcy Code that would give the Trustee greater rights with respect to the property than those possessed by Meridian at the time the petition was filed. See, *In re Sandralee Rodgers*, 333 F.3d 64, 68-69 (2d Cir. 2003). Consistent with the principle that state law is controlling as to substantive property rights, 11 U.S.C. § 108(b) limits the cases in which a trustee may cure a pre-petition default to situations in which a cure period established by applicable nonbankruptcy law has "not expired before the date of filing

the petition." A trustee has no right to cure a default if the time to cure, as fixed by applicable nonbankruptcy law, expired before the petition was filed.

Conclusion

The County respectfully submits that the Decision should be reversed and remanded to the Bankruptcy Court for entry of an order confirming that the County did not violate the automatic stay by concluding the auction, and that the recordation of the Tax Deed will not be a violation.

/s/ Laurel Lee Hyde
Attorneys for Appellant
County of Imperial Treasurer-Tax Collector
October 7, 2016

CERTIFICATION OF INTERESTED PARTIES

The following listed parties have an interest in the outcome of this case. These representations are made in order that judges of the Panel may evaluate possible disqualification or recusal.

American Pacific Investments, LLC, Buyer at Tax Sale

Iqbal Ahmed, Principal in Buyer at Tax Sale

Mehnaz Ahmed, Principal in Buyer at Tax Sale

Fraz Ahmed, Principal in Buyer at Tax Sale

Harris Ahmed, Principal in Buyer at Tax Sale

County of Imperial, Appellant

Ronald E. Stadtmueller, Trustee, Appellee

RW Meridian, LLC, Debtor

Ralph Bowen, Principal in Debtor

Nicole H. Kim, Unsecured Creditor

Pitzerwood, LLC, Unsecured Creditor

/s/ Laurel Lee Hyde

CERTIFICATION OF RELATED CASES

Appellant is aware of no related cases or appeals pending before this Panel, the Ninth Circuit Court of Appeals, or the district court.

/s/ Laurel Lee Hyde

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7) because it contains 1,782 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, 14-point EB Garamond, with plain roman type and italics for emphasis.

/s/ Laurel Lee Hyde

CERTIFICATE OF SERVICE

I hereby certify that on October 7, 2016, I electronically filed the foregoing document with the Clerk of the Court for the Bankruptcy Appellate Panel for the Ninth Circuit by using the CM/ECF system.

I certify that all parties of record to this appeal either are registered CM/ECF users, or have registered for electronic notice, or have consented in writing to electronic service, and that service will be accomplished through the CM/ECF system.

/s/ Laurel Lee Hyde